

KEYNOTE INTERVIEW

Setting out to break the mould



Investing in assets that are unique in their markets insulates investors from macroeconomic headwinds at the point of exit, says Ridgewood Infrastructure's Ross Posner

The lower mid-market holds strong appeal for investors given the enhanced opportunity to strategically reposition assets and add value. The lower mid-market also offers the advantage of being able to sell into more competitive parts of the infrastructure landscape.

Despite a muted exit market in recent years, it has therefore proved possible to achieve attractive realisations, says managing partner at Ridgewood Infrastructure, Ross Posner. However, it is vital that assets have unique characteristics so that they represent opportunities not to be missed, regardless of the macroeconomic backdrop, he adds.

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Q The private markets industry has clearly been through a challenging few years for fundraising. How would you describe LP appetite for the asset class in general today and what are investors looking for from their infrastructure exposure?

Despite the challenges of the past few years, LP appetite for infrastructure remains extremely strong. Whether investors are able to invest at historic

levels will depend on their idiosyncratic portfolio sizing and investment allocations, but fundamentally, the level of interest in infrastructure is high and it is easy to see why.

Infrastructure has been an attractive source of returns and portfolio diversification given its lack of correlation with the broader economy. There have been numerous surveys indicating that asset allocations are going to continue to increase and that is certainly what we are seeing in the market.

Q What parts of the wider infrastructure ecosystem

are LPs favouring and what do they want to see in a manager?

Over the years, investors have come to understand the positive attributes that the lower mid-market can bring to a portfolio, complementing exposure to larger-deal managers and other geographies.

In particular, the lower mid-market offers compelling risk-adjusted returns, together with differentiated exposures. In other words, there are assets and sectors that are very difficult to access if you only invest in funds targeting bigger transactions. This is important for investors in terms of their own portfolio construction.

Investors are looking for differentiated strategies, excellent teams and demonstrable strong and repeatable returns. They want to see actions and outcomes match up with words and expectations. As a case in point, we closed our latest fund above target at \$1.2 billion in January with strong re-ups, as well as new LPs from across the globe.

Q Where do you see the most interesting opportunities when it comes to new investments?

We see opportunities across all the areas where we are active: from water and transport to logistics, energy and utilities. One example is an investment we recently made in cold storage and logistics. This is a sector undergoing secular growth underpinned by changing macro demographics, including urbanisation and the reshoring of supply chains. Given those positive tailwinds, it is a sector we have been looking at for some time.

Last quarter, we closed on the acquisition of a company named Valley Cold, which is very well positioned and a great fit with our strategy for this subsector. It is integral to the management of customers' supply



Q Has there been a shift away from core and towards value add as a result of the change in macroeconomic environment?

The macroeconomic backdrop has constrained the levers you can pull to generate and increase cashflow. Investors are therefore turning towards strategies that can drive growth, leading those who have been focused on core infrastructure to shift their focus.

We execute a strategy focused on growing and strategically enhancing the positioning of what we own, which is very much in the interests of LPs as it controls outcomes. We have a repeatable set of activities in our toolkit which we use to enhance intrinsic value before monetising that value in the most competitive parts of the market.

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chains. The company's end user markets – primarily agricultural and protein products – are attractive due to a lack of correlation to broader markets.

The Valley Cold transaction is a great example of one of our primary investment execution pathways. We recapitalised this founder-led business, infusing it with both capital and expertise in order to take it to the next level through scaling and professionalisation. The ability to harness the secular growth trends with a well-positioned business, with a great management

team, is a repeatable focus for us and something we're excited about with our Valley Cold investment.

Q What types of opportunities do you see across your other markets, whether water, energy or utilities?

We are seeing an abundance of opportunities driven both by the need to renew ageing infrastructure in the US, for example water transmission networks, and the need to create new infrastructure, such as new energy generation capacity due to increased demand from data centres.

When coupled with the complexity of today's macro environment, it's creating the ideal backdrop for investment origination in the smaller end of the market.

These firms are focused on growth and are often family owned, seeking partners that can bring not just capital, but also experience and sophistication. We are seeing this trend play out throughout the market, including in the utility sector, where we are currently in discussions over a range of opportunities.

Q The exit environment has been notably depressed over the past couple of years, but you decided to press ahead with some realisations regardless. How do you view the situation today?

We think about our likely exit routes at the point of entry and a key part of our investment strategy involves trying to ensure that what we invest in is genuinely differentiated. We believe that is an element of the alpha that we generate.

Our view has always been that for an exit to be protected from potential headwinds, you need to be selling something that is unique and selling it into the most competitive part of the market also creates strong

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tailwinds as we run investment bank auction sale processes. We do that by design and this usually means it is possible to get attractive outcomes regardless of the macroeconomic backdrop.

We have seen this play out with two of our most recent realisations. The first involves the sale of the Vista Ridge water pipeline which closed in October last year. Vista Ridge delivers around 20 percent of San Antonio's fresh water under a 30-year take or pay concession agreement with the San Antonio Water System. It is the largest water PPP in US history, with Ridgewood building it, putting in place the operator and executing on an assumable long-term project. We then owned and operated the asset for a number of years, demonstrated to the market it was fully derisked and then it was time to harvest the investment.

This was one of those assets where if you missed the trade, the opportunity was gone. We therefore received a high level of interest, ultimately selling to a core infrastructure fund.

Similarly, earlier this year, we exited one of the fastest-growing regulated utilities in the US, SiEnergy, a company that had tripled in size since our ownership. SiEnergy is focused exclusively on the Texas market, which meant it provided prospective owners with the ability to buy significant market share in a very attractive state.

In the end, we sold the business to Northwest Natural, a public utility in the Pacific Northwest that was looking for geographic diversification. Again, if they hadn't been able to buy SiEnergy, there wouldn't have been another compelling alternative to pursue. Being able to convey the unique characteristics of an asset to potential buyers, whether to financial investors or strategics, provides a strong foundation for exit whatever the macro environment. ■